

VELUSE AGENCY STANDARD OPERATING PROCEDURE (SOP) DEPARTMENT:

Mergers & Acquisitions / Enterprise Wealth Architecture **SUBJECT:** The Roll-Up & M&A Strategy Playbook (Med Spa Consolidation)

PURPOSE: To establish Veluse Agency's elite protocol for transitioning from organic client acquisition to inorganic, exponential wealth creation through Mergers and Acquisitions (M&A). We will not just service Med Spas; we will acquire, optimize, roll them up, and sell them to institutional buyers at a massive premium. This SOP dictates the exact economics of consolidation, the criteria for a sellable asset, and the integration checklist to strip costs and multiply Enterprise Value.

PART 1: THE "GOOSE VS. EGG" ASSET CRITERIA

The most fatal mistake entrepreneurs make when trying to exit is attempting to sell the "Goose" rather than the "Golden Eggs" 1. You never want to sell the goose; you want to keep the goose and let it keep laying golden eggs so you can continuously sell them 1.

- **The Goose (The Value Creator):** The Goose is the overarching acquisition engine, the overarching brand, or the proprietary infrastructure 2-4. At Veluse, our AI-infrastructure, brand reputation, and overarching management systems represent the Goose. Selling this is nearly impossible or highly discounted because it relies heavily on the founders' specific skills and faces 3, 5, 6.
- **The Egg (The Sellable Asset):** The Eggs are the actual cash-flowing businesses running on the systems 1, 2. A sellable asset must possess recurring or sticky revenue, and it must be completely faceless, meaning it does not require the founder to operate the day-to-day 5-7. If any component of a business is dependent on you, it is inherently significantly less valuable to a buyer 6.

The Veluse Directive: We will not sell Veluse Agency (The Goose). Instead, we will use our proprietary AI marketing and BioOps software to acquire failing or stagnant Med Spas, transform them into optimized, faceless, cash-flowing assets (The Eggs), and bundle them together for a massive exit 2, 5, 8.

PART 2: THE ECONOMICS OF A ROLL-UP (THE VOLUME PREMIUM)

To generate deca-millionaire wealth, we must weaponize the financial concept of the "Size Premium" or "Volume Premium" 9, 10.

When consumers buy items in bulk, like toilet paper, the price per unit goes down 9.

However, in the world of private equity and institutional investing, the exact opposite is true: buying in bulk commands a premium 9, 10. The largest private equity funds—like Blackstone or BlackRock—have so much capital that they enforce minimum check sizes, such as \$150 million 9. They physically cannot waste time writing small checks to individual businesses 9, 11. Big money is lazy, so they pay a premium to operators who go out and gather a bunch of assets together so they can write one massive check 11, 12.

The Accounting Firm Analogy: If an individual accounting firm (or a solo Med Spa) attempts to sell on its own, it might command a 4x multiple on its earnings 10, 12. However, if we roll up 10 to 20 of these firms into a single conglomerate, that consolidated entity can sell for 12x earnings 10, 12. Even if we bring in partners and give up 30% of the deal to the individual founders, everyone makes significantly more money because the 12x multiple is so vastly superior 12. By combining assets, we buy Med Spas at a 4x or 5x multiple, utilize debt to finance the acquisitions, combine them, and sell the aggregate portfolio at a 10x or 12x multiple, tripling our capital without even factoring in organic growth 13.

PART 3: THE ACQUISITION & INTEGRATION SOP

When Veluse acquires a new Med Spa, we do not leave it running under its old, inefficient framework. We must execute a ruthless integration process. This methodology is directly adapted from analyzing highly successful, unglamorous roll-ups, such as a \$2M/year dog-poop scooping business 14.

Step 1: Separate the Business Components Upon acquisition, immediately dissect the Med Spa into its core functional components 15.

1. The customer list and recurring revenue base 15.
2. The practitioners delivering the service (the technicians/scoopers) 15.
3. The administrative, marketing, and sales functions 15. Because Veluse Agency possesses elite sales and marketing infrastructure, we do not need the target company's marketing team; we are simply buying the book of business and the delivery vehicles 15.

Step 2: Centralize Costs & Decentralize Best Practices To instantly strip costs out of the newly acquired Med Spas, we centralize all administrative, legal, and operational expenses at the Veluse holding-company level 16, 17. Centralizing these costs instantly adds profit to the bottom line of every acquired location 16. Next, we analyze the specific strengths of each new location, extract their best practices, and distribute those practices across the entire portfolio 16, 18.

Step 3: Execute the "Checklist" Integration Integrating a business is not magic; it is literally the world's longest checklist 19. We must create rigid Standard Operating Procedures (SOPs) for every core component of the business 19. With every new acquisition, our integration checklist will get longer and more refined, allowing us to absorb and optimize new Med Spas faster and faster 19.

Step 4: Restructure Operator Incentives We cannot successfully scale a brick-and-mortar chain without highly motivated operators on the ground 20. Post-acquisition, we must structure the deal to include performance-based bonuses or profit-sharing (typically 10% to 20%) for the operators remaining in the business 15, 20. If the operators do not hit their integration and profitability targets, they do not get paid their bonuses, ensuring our risk is perfectly hedged 15.

Step 5: Rebrand for the Premium Exit Finally, once the backend operations are centralized and highly profitable, we strip away the disparate, local branding of the acquired clinics 21. We roll them all under the premium Veluse Med Spa brand 21. Rebranding under a single, unified corporate identity makes the entire portfolio significantly more attractive to institutional investors, allowing us to command the ultimate premium multiple when we exit 21.